



Revolutionizing Collections with AI

Transforming Debt Recovery for Financial
Institutions

AGENDA

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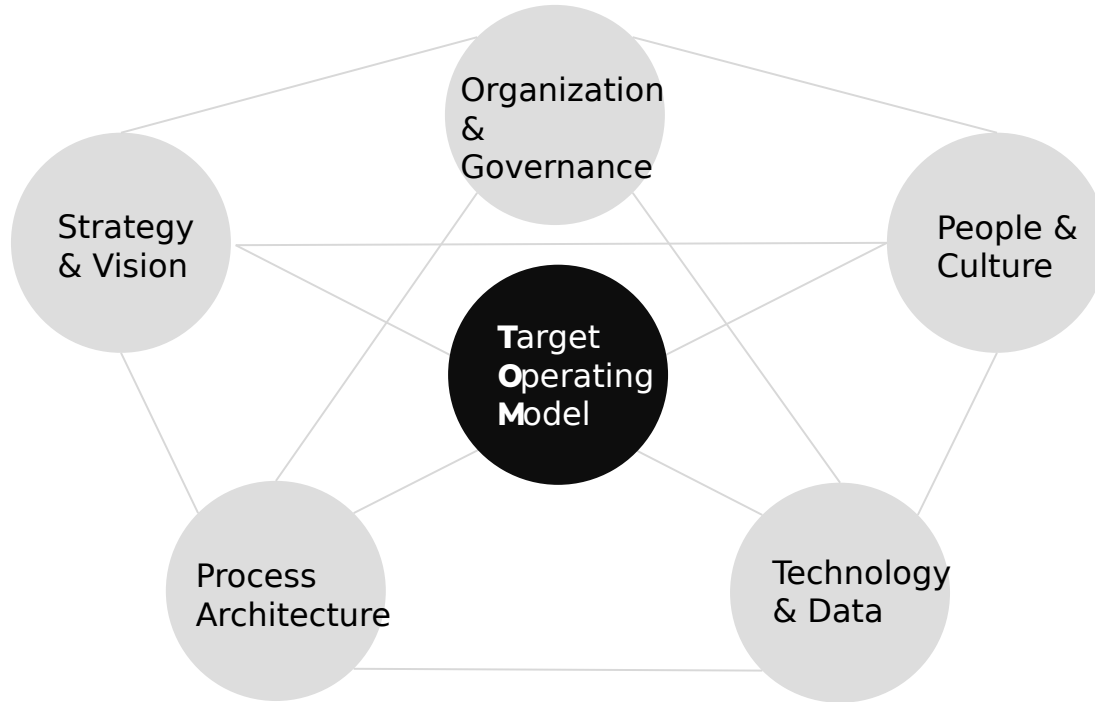
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Market Size in United States**

Collections Operating Model unifies routing, context, and follow-up

Digital Finance Target Operating Model



Reference Market Demand maps latent recovery demand by risk value and aging

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**Latent demand reveals
where recovery wins**

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Consolidate scattered delinquency data and prioritize risk for faster recoveries

Background

- Customer pain points in collections come from fragmented account data spread across ERP, LOS, LMS, payments, and spreadsheets, plus manual prioritization and inconsistent follow-up. Weak visibility into promises-to-pay and recovery risk makes teams search and re-verify instead of contacting the highest-value delinquent accounts
- Industry approaches increasingly emphasize real-time reconciliation, predictive prioritization, automated workflows, and AI-driven dashboards. For the MVP, solving data consolidation and prioritization first creates the foundation for later AI next-best action and dynamic escalation.

Key factors contributing to the problem

Scattered account truth

Delinquent accounts live across ERP, LOS, LMS, payment rails, and spreadsheets, forcing collectors to stitch context manually before any meaningful outreach.

Manual prioritization drag

Prioritization relies on experience or static lists, so high-value, high-risk customers do not reliably surface first, reducing recovery focus on the best opportunities.

Inconsistent follow-ups

Follow-up timing depends on individual diligence and ad hoc notes, creating inconsistent outreach cadence and missed windows when customers are most receptive to resolution.

Weak PTP tracking

Promises to Pay are captured loosely, tracked outside systems, or updated late, so broken commitments do not trigger structured next actions for collectors or escalations for leads.

Broken recovery visibility

Managers lack near real-time recovery risk signals, so strategy adjustments happen after performance drops, not during the period when recovery behavior can be corrected.

Generic customer outreach

Customer reminders often use generic messages with missing context, lowering contact success and increasing disputes because the communication does not align with the customer situation.

User roles map decision rights to shared account truth for KPI actions

01

**Prioritize, act,
track**

Prioritized workload with account truth, context for disputes and aging, last contact, and next best action. Promise history, notes, and follow-up dates turn calls into trackable outcomes.

02

**Work control &
esc**

Team productivity tracking with workload heatmaps, reassignment controls, and escalation queue oversight. Ensures follow-up cadence stays on target for each collector batch.

03

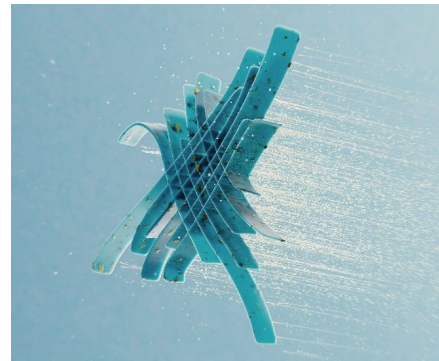
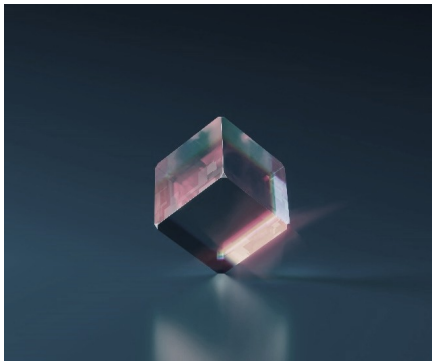
**Risk & strategy
perf**

Portfolio risk buckets, recovery cycle signals, and promise conversion performance. Surfaces where broken promises concentrate, enabling strategy tuning by delinquency tier.

04

**Portfolio cash
impact**

Recovery, DSO impact, and delinquency trends in one view, broken down by risk bucket. Links portfolio health to cash conversion, highlighting which segment needs strategy change.



North Star Metrics track recovered cash from prioritized delinquents with leading KPIs

Metric	Group	Why It Matters (Importance)	Target
Recovered cash, top AR	Collections ops	Connects daily prioritization to cash, building trust that ranked accounts recover value	↑12%/90d to
Promise-to-Pay kept rate	Promise management	Checks if promises convert to payment, revealing timing and follow-up gaps	70% kept in 60d
Contact success rate	Customer outreach	Measures reach fit and data quality before payment, flag timing for escalation	40% in 45d
Recovery cycle time	Delinquency control	Shows how fast overdue converts to payment, turning friction into cash velocity	Cut prioritized delinq. recovery loss 20% in 120 days
DSO impact on delinquent	Working capital	Connects collections execution to receivables efficiency, so recovered cash reduces exposure	Cut DSO 8d/120d

MVP scope defines an end-to-end collector workflow and live manager control

Step 1

Define MVP Scope: end-to-end delinquent workflows, scoring, notes, promise tracking, manager live control

Narrow to collector workflows and manager control, minimal setup for end-to-end execution



Collector can triage, log contacts, capture promises, and managers track live recovery risk.

Step 4

Include core workflows: delinquent assignment, scoring, account view, logging, promises, and manager dashboard

Instrument assignment for follow-up via rules, structured notes, and promise states



Priority scoring, account detail, contact logging, promise capture, and broken-promise tracking.

Step 2

Limit AI and automation, ship core workflows fast to prove value and build data for later

Defer advanced AI, use rules first to prove data quality and workflow fit



No autonomous recommendations, no conversational bots, and no omnichannel automation in MVP.

Step 5

Build MVP Data Foundation for delinquent workflows, live portfolio control, and future AI readiness

Ensure each step captures learnable fields for later models, improving predictions and actions



Consistent recovery events, outcome labels, and promise history for future AI-driven optimization.

Step 3

Prioritize live manager portfolio control with end-to-end collector workflows for MVP launch speed

Provide a portfolio dashboard showing promise status and delinquency risk with structured data



Live oversight of prioritized delinquency, escalation needs, and recovery cycle progress.

Core workflow screens streamline daily collections from worklist to promise tracking

Situation



Single Journey, No Fragment

Auth maps roles, triage sets priority, investigation adds context before action, cohesive flow

Collections work stays scattered across systems, forcing guesswork on who to call and when, then slowing recovery decisions.

Actions



Contact to Promise, Seq

Contact logs outcomes; promise capture commits next steps; escalates if discipline slips

A continuous collector journey structures each step, turning outreach, promises, and outcomes into disciplined, reviewable signals.

Results



Manager Control, Live Risk

Dashboard unifies promise health and recovery risk so leaders act early and steer strategy

Faster follow-up, clearer accountability, and manager visibility improve recovery outcomes while reducing missed promises and manual chasing.

Rules-based collector worklist prioritization uses value risk and broken promises

Rules-Based Priority Score

- Overdue amount drives immediate cash impact focus
- Days past due heightens urgency as delinquency worsens over time

1

Transparent scoring inputs

Priority score combines overdue amount, days past due, broken promises, risk score, and customer value to rank the queue with consistent logic.

Why It Works in MVP

- Broken promise signals likely churn, so it gets surfaced
- Customer value and risk balance effort versus recovery upside

- Explainability helps supervisors trust queue order fast, since the top ranking is transparent
- Simple weights allow safe tuning without retraining models

2

Rule-based control

Visible rules speed adoption on day one and provide an audit trail for actions, escalations, and follow-up discipline

- Faster triage improves collector productivity and reduces wasted outreach
- Consistent ranking supports measurable cycle-time improvements

- Start with deterministic rules, then layer AI after baselines stabilize
- Avoid model latency during daily collector execution

3

AI-ready foundation

This locks in strong MVP prioritization, then later AI can enhance using the same structured data and outcomes

- Queues boost recovery focus before AI validation is needed, with transparent rules
- Risk segmentation becomes actionable through ranked work

Promise Tracking Controls convert commitments into trackable outcomes and risk



Captured promise value in exact collections currency for partial-pay math, overdue variance checks, reconciliation linkage



Committed payment date to drive reminders, escalation, and cycle-time analytics to confirmed settlement



Outcome classification for governance: Open, Kept, Broken, Partially Paid, Cancelled, to audit recovery actions



Broken-promise signal elevates risk, triggers faster follow-up, improves prioritization, cuts wasted outreach